Downtown Ardmore Boutique Hotel

105 East Main Street • Ardmore, Oklahoma

INVESTOR UNDERWRITING & CAPITAL STRUCTURE · APRIL 2026

There is no boutique hotel in downtown Ardmore.

That gap has existed for decades.

We are closing it.

A 25-KEY BOUTIQUE HOTEL · $5.46M TOTAL PROJECT · FOUR CAPITAL STRUCTURE OPTIONS

AT A GLANCE

The deal in six figures.

TOTAL PROJECT CAPITAL $5.46M Acquisition, renovation, FF&E, soft costs	ACQUISITION PRICE $525K Historic building, 1.19 acres	KEYS 25 Boutique room count · plus restaurant + speakeasy
TARGET INVESTOR IRR 15–25% Range across all four capital options	WORKING ARV → OPTIMISTIC $6.5M → $9.8M Conservative working number for lender scrutiny	EARNEST GOES HARD *July 1* 2026 · 5:00 PM · capital structure must be confirmed

PLUS · HISTORIC TAX CREDITS **~$1.76M** 20% federal + 20% Oklahoma state on ~$4.41M of qualifying rehabilitation — a return enhancement on top of the figures above.

A HISTORIC BUILDING ON ARDMORE'S MAIN STREET

Built for hospitality, again.

ARCHITECTURAL RENDERING · 104 E. MAIN

ADDRESS	105 E. Main Street Downtown Ardmore, Oklahoma
LAND	1.19 acres
BUILDING	18,904 SF • historic
PROGRAM	25 boutique rooms Restaurant • alley-entry speakeasy
POSITION	Only boutique in downtown Triple-access: I-35, Amtrak, pedestrian core
MODELED ADR	\$149 – \$285 vs market chain ADR \$100 — \$155

04 — PRELIMINARY RENDERINGS

BEFORE & AFTER

From boarded-up to boutique.

East Main Street frontage — TODAY · RENDERING

Rear elevation & entry — TODAY · RENDERING

Rooftop terrace & bar — TODAY · RENDERING

Main hall → restaurant & bar — TODAY · RENDERING

CONCEPT RENDERINGS · NOT FINAL CONSTRUCTION DOCUMENTS

THE DEMAND ENGINE

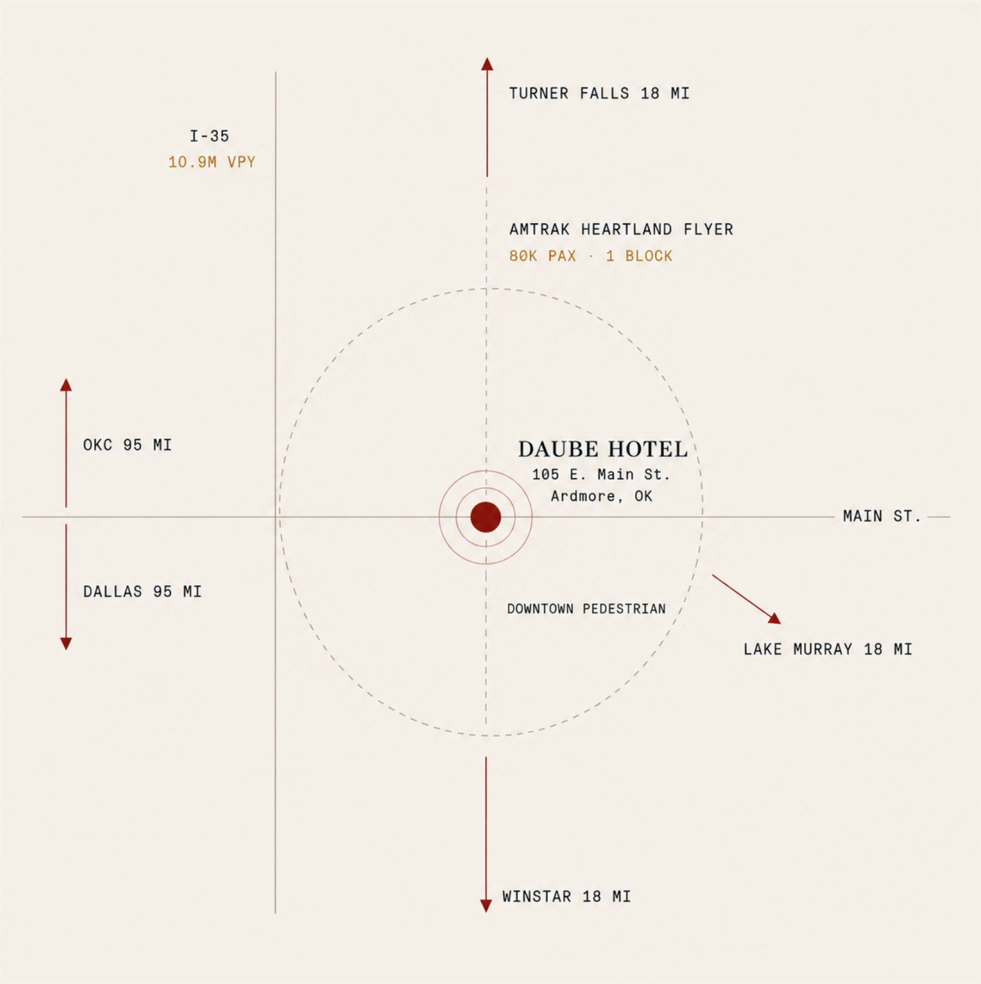
Ardmore is built for boutique.

6M+ **WINSTAR WORLD CASINO** ANNUAL VISITORS · 18 MI SOUTH · DFW-DRIVEN · 1,399 HOTEL ROOMS SELL OUT ON WEEKENDS	1.7M+ **LAKE MURRAY STATE PARK** ANNUAL VISITORS · 5 MI EAST · OKLAHOMA'S LARGEST STATE PARK · SUMMER WEEKENDS SELL OUT
10.9M+ **I-35 CORRIDOR** ANNUAL VEHICLES THROUGH ARDMORE · 30,000 VPD AVERAGE · 70,000 PEAK WEEKENDS	80,371 **AMTRAK HEARTLAND FLYER** 2024 PASSENGERS · +11% YOY · STATION *ONE BLOCK* FROM THE PROPERTY

COMBINED ANNUAL DEMAND WITHIN 25 MI: 8M+

THREE CORRIDORS, ONE PROPERTY

A location no other Ardmore hotel can match.



I-35

The interstate engine.

30,000 vehicles per day average, 70,000+ on holiday and OU-Texas weekends. **10.9M annual pass-throughs.** The corridor that carries DFW's gaming and outdoor traffic into Oklahoma.

RAIL

Amtrak's Heartland Flyer.

Daily Fort Worth ↔ Oklahoma City service. **80,371 passengers in 2024** (+15% over pre-pandemic). The station is at 251 E. Main — *one block* from the property. Walk-to-hotel rail access exists in no other Ardmore lodging.

FOOT

Downtown pedestrian core.

Main Street carries **4,300 VPD** directly past the property — up 2.4% since 2021 — with boutique shops, restaurants, and the Convention Center within a half-mile walk.

WHERE THE DEMAND COMES FROM

Thirteen demand engines. Five categories.

GAMING	OUTDOOR	EVENTS	TRANSPORT	LOCAL BASE
WinStar World Casino 6M+ / 18 mi south	Lake Murray State Park 1.7M+ / 5 mi east	Hardy Murphy Coliseum 100K+ visitors / yr	I-35 Corridor 10.9M+ vehicles / yr	Chickasaw Nation 1,500+ employees
Gold Mountain Casino 300 machines / 1.5 mi	Turner Falls & Arbuckles 25 mi north	Ardmore Convention Ctr 50–80 events / yr	Amtrak Heartland Flyer 80,371 / +11% YoY	Mercy Hospital Ardmore 900+ regional med hub
Lakecrest Casino Near Lake Murray	Chickasaw Nat'l Rec Regional	Chickasaw Festival Annual / week-long	E. Main St. (Hwy 70) 4,300 VPD frontage	Oil & Gas / Healdton Highest-paying sector

YEAR-ROUND, MULTI-SEGMENT, MULTI-DISTANCE

ARDMORE IN 2026

A market in active transition — and tourism is the strategy.

WHAT HAPPENED

Manufacturing took a hit in 2025.

—**Michelin** closed end of 2025 — 1,400 jobs

—**AAF / Flanders** closed December 2025

—**Woodside H2OK** hydrogen plant cancelled August 2025

We name these openly. Investors should price them in — and the next two columns explain why we still pencil.

THE CITY'S RESPONSE

A funded, deliberate pivot.

—**2025 Economic Vision Plan** with VisionFirst Advisors

—**$1M+ Rapid Community Response** grant deployed

—**Tourism & entrepreneurship** named primary replacement pillars

—**Dot Foods +$13.9M expansion**; Circulus (Dow) opening 2nd facility

—Industrial Airpark actively marketed — rail, air, foreign trade zone

THE OPPORTUNITY

We are the flagship.

—Tourism is now an **official economic pillar** — not a side bet

—Ardmore Tourism Authority is actively promoting downtown

—Main Street recognized **"America's Favorite"** by Today Show

—10.3% business application growth — outpacing state

"The city is actively trying to build its tourism economy — and this hotel is the private investment that makes that strategy credible."

WHERE ARDMORE SLEEPS TONIGHT

Six chain hotels on I-35. Zero downtown.

I-35 CORRIDOR · 1-2 MILES WEST

Hampton Inn & Suites	88 rooms · $130 – $155
Hilton Garden Inn	120 rooms · $125 – $150
Comfort Inn & Suites	78 rooms · $100 – $130
Holiday Inn Express	84 rooms · $100 – $125
Budget chains (3—4)	~250 rooms · $65 – $95
Lake Murray Lodge	32 rooms · $140 – $175

DOWNTOWN ARDMORE

Boutique hotel (proposed)	25 rooms · $149 – $285

Downtown boutique options: *zero*.

Boutique hotels nationally outperform chain counterparts by **+20—35% in ADR**. Ardmore market chain occupancy already runs 70—80% — top quartile of small Oklahoma markets. The supply gap is structural, not cyclical.

WHAT BOUTIQUE UNLOCKS

The math behind a 25-room hotel that prices like a 100-room chain.

CHAIN — I-35 CLUSTER

$100 – $155

AVG DAILY RATE

Generic experience — near-highway, branded boxes, transient stays

Volume play — 80—120 rooms each, lower per-key returns

Lower stabilized occupancy when boutique enters the market

No food/beverage upside beyond breakfast

DOWNTOWN ARDMORE — BOUTIQUE

$149 – $285

AVG DAILY RATE · +20-35% NATIONAL BOUTIQUE PREMIUM

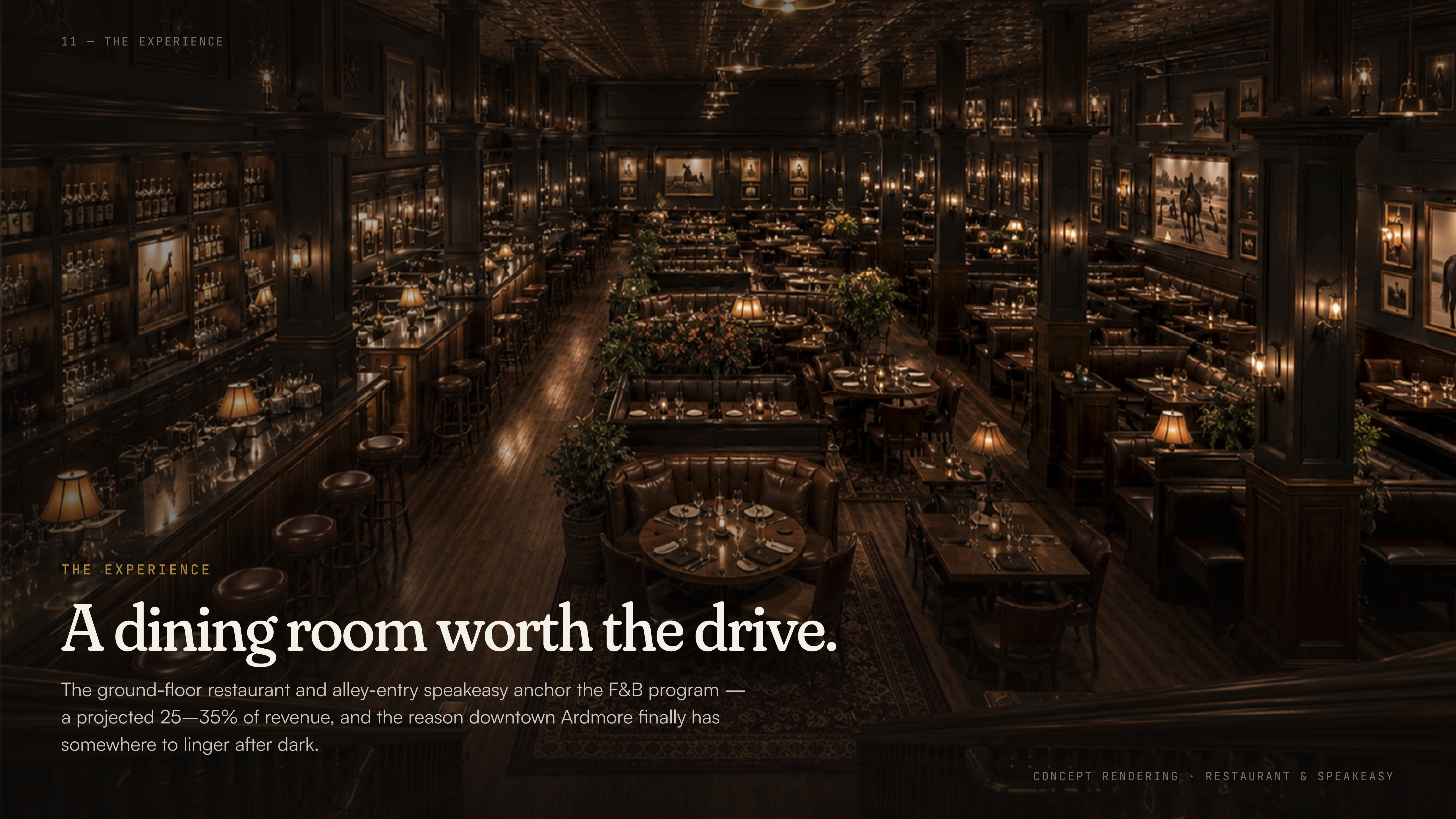
Experience-driven — historic building, downtown, walkable

Restaurant + speakeasy — F&B captures 25—35% of revenue

First-mover advantage — no other boutique within 90 miles

Stabilized occupancy modeled 65—78% · market baseline 70—80%

NATIONAL + MARKET DATA



THE EXPERIENCE

A dining room worth the drive.

The ground-floor restaurant and alley-entry speakeasy anchor the F&B program — a projected 25—35% of revenue, and the reason downtown Ardmore finally has somewhere to linger after dark.

CONCEPT RENDERING · RESTAURANT & SPEAKEASY

THE EXPERIENCE

A rooftop nobody else has.

An open-air terrace and bar above Main Street — the only elevated sunset view downtown, and a year-round draw for destination drinks and private events.

CONCEPT RENDERING · ROOFTOP TERRACE & BAR

TRIANGULATING THE STABILIZED VALUE

Three valuation methods. One conservative working number.

INCOME APPROACH · 60% WEIGHT

Stabilized NOI ÷ cap rate.

CONSERVATIVE · 9.5% CAP	$6,842,105
BASE · 8.5% CAP	**$8,751,012**
OPTIMISTIC · 7.5% CAP	$11,333,333

Year 3 stabilized NOI of $743,836 divided by secondary-market boutique cap.

COST APPROACH · 25% WEIGHT

What it would cost to rebuild.

LAND + BUILD + FF&E	$5,839,000
LESS 10% HISTORIC DEP.	**$5,256,000**
RANGE	$5.18M – $5.33M

Replacement cost at $250/SF • 18,904 SF • land 1.19 ac • FF&E $400K.

PRICE PER KEY · 15% WEIGHT

Boutique sales comp.

CONSERVATIVE · $125K/KEY	$3,125,000
BASE · $175K/KEY	**$4,375,000**
OPTIMISTIC · $225K/KEY	$5,625,000

Boutique secondary market range: $125K—$250K/key (2026 benchmarks).

WORKING NUMBER

$6,500,000

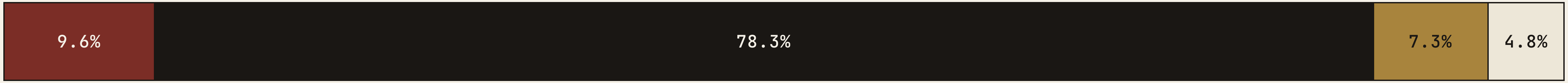
Deliberately below the weighted conservative ARV — sets up a comfortable lender margin.

$5.9M	$7.6M	$9.8M
WEIGHTED · CONSERVATIVE	WEIGHTED · BASE	WEIGHTED · OPTIMISTIC

SOURCE: JLL Q1 2025 BOUTIQUE BENCHMARKS

USE OF FUNDS

$5,464,200 — where every dollar goes.



ACQUISITION

$525K

Historic building & 1.19 acres at 105 E. Main

RENOVATION & CONSTRUCTION

$4.28M

18,904 SF gut + restore • approx $226/SF all-in

FF&E

$400K

25 rooms • lobby • restaurant • speakeasy

SOFT COSTS

$263K

Permits, architecture, pre-opening, working capital

TOTAL PROJECT CAPITAL

$5,464,200

OFFSET → ~**$1.76M** in historic tax credits (40% of ~$4.41M qualifying rehabilitation) flows back to investors — see next slide.

A CERTIFIED HISTORIC STRUCTURE

40% of the rehabilitation comes back as tax credits.

FEDERAL HTC · 20%	OKLAHOMA STATE HTC · 20%	COMBINED CREDITS · 40%	PER $500K INVESTOR
$881K	$881K	$1.76M	~$352K

HOW THE CREDITS WORK

- The property is a **certified historic structure** on Ardmore's Main Street — the qualifying basis for both credits.
- Credits equal **40% of Qualified Rehabilitation Expenditures** — the rehab of the historic structure, not acquisition or FF&E.
- QRE base ≈ **$4.41M**: the ~$4.28M renovation plus qualifying architecture & permit soft costs.
- Federal credit is claimed **ratably over 5 years**; the Oklahoma credit is **transferable** and can be monetized earlier.

WHAT IT MEANS FOR INVESTORS

- **~$1.76M flows back to equity** on top of operating and exit returns — a pure return enhancement.
- Each $575K investor's ~$352K share lifts the Option 2 base case from **~3.6× to ~4.2×** equity multiple.
- Credits arrive *after* the hotel opens — they do not reduce the capital needed to build, but materially boost after-tax IRR.

Per-investor credit figures assume allocation to equity investors pro-rata to capital; final allocation is governed by the Operating Agreement — confirm with tax counsel before reliance. Credits are contingent on NPS/SHPO certification (Part 1-3) and final QRE certification; each investor's benefit depends on individual tax position. Forward-looking estimate.

SIDE BY SIDE

Four ways to fund this. One we recommend.

	OPTION 1 Equity + Loan	OPTION 2 · RECOMMENDED ★ Balanced Stack	OPTION 3 Full Equity	OPTION 4 Two Principals
TOTAL EQUITY	$1.78M	$2.88M	$5.46M	$5.46M
CONSTRUCTION LOAN	$3.68M	$2.59M	None	None
INVESTORS	5—8	5—7	8—12	2
MIN. CHECK	$223K - $357K	$411K - $575K	$455K - $683K	~$2.73M
ANNUAL DEBT SERVICE	~$300K	~$210K	$0	$0
BALANCE-SHEET REQ.	High · guarantors needed	Medium · lighter guarantee	Low · no loan	Low · no loan
ESTIMATED IRR	15-20%	17-23%	19-25%	19-25%
BEST FOR	Strong-balance-sheet investors wanting leverage	Best overall balance — start here	Cash-rich investors who want zero bank risk	Two principals who want to own it outright, together

ALL SOLVE THE $5,464,200 — DIFFERENTLY

OPTION 1 · EQUITY + CONSTRUCTION LOAN

Smaller checks. More leverage. Heavier guarantees.

EQUITY RAISE	CONSTRUCTION LOAN	BASE IRR (5 YR)	EQUITY MULTIPLE
$1.78M	$3.68M	~17%	~4.3×

HOW IT WORKS

- 5 equal investors at **$356,900 each** (13.3% LP slot each)
- $3.68M construction loan from 1NB or similar regional lender
- Lender requires investors with combined net worth ≥ 2× loan (~$7.4M+)
- 12-month interest reserve funded at closing (~$258K at 7.0%)
- Bank commissions own appraisal — our $6.5M ARV supports a $3.68M loan at ~57% of ARV

TRADE-OFFS

- **Personal guarantees required from all investors** — the gating issue
- ~$300K annual debt service starts after construction completes
- Year-1 cash flow is the tightest of the four options
- Bank approval not guaranteed; conservative 57% loan-to-ARV helps but isn't a yes
- Leverage amplifies returns in the upside *and* the downside

★ SPONSOR'S RECOMMENDATION

Larger equity. Smaller loan. The cleanest bank story.

EQUITY RAISE	CONSTRUCTION LOAN	BASE IRR (5 YR)	EQUITY MULTIPLE
$2.88M	$2.59M	~19%	~3.6×

WHY THIS IS THE RECOMMENDATION

- 5 equal investors at **$575,000 each** (14% LP slot each)
- Loan-to-cost drops to **47%** — very comfortable for a community lender
- Loan-to-ARV at $6.5M is **39.8%** — well inside conventional underwriting
- Combined investor net worth of **~$5.2M+** should clear the bank
- Interest reserve needed drops to **~$181K** (vs. $258K in Option 1)

TRADE-OFFS

- Larger check size — investor pool is narrower than Option 1
- Still requires a bank approval and ongoing lender relationship
- Construction loan interest accrues during build
- Five investors each hold significant single-deal concentration
- If bank deal falls through, fallback is shifting toward Option 3

OPTION 3 · FULL EQUITY

No bank. No debt service. Highest IRR — hardest raise.

EQUITY RAISE	CONSTRUCTION LOAN	BASE IRR (5 YR)	EQUITY MULTIPLE
$5.46M	None	~22%	~2.9×

HOW IT WORKS

- 10 equal investors at **$546,420 each** (7.0% LP slot each), or 8 at $683K
- **Zero debt service** — 100% of Year 3+ NOI flows to investors
- **No bank approval** required; deal closes on investor capital alone
- **No personal guarantees** — investors are passive LPs, full stop
- Full exit proceeds available to investors at sale (no debt payoff)

TRADE-OFFS

- Hardest raise — need $5.46M from private investors alone
- Each investor's percentage stake is smaller (~2.9× multiple vs. ~3.6× in Option 2)
- More investor relationships to manage on an ongoing basis
- No leverage means lower absolute return per dollar invested in the upside
- Requires a deep accredited investor network — 8—12 commitments

OPTION 4 · TWO-INVESTOR PARTNERSHIP

Two principals. No bank. The whole project, owned outright.

EQUITY RAISE	CONSTRUCTION LOAN	BASE IRR (5 YR)	TAX CREDIT · PER PARTNER
$5.46M	None	~22%	~$880K

HOW IT WORKS

- Two equal investors at **~$2,732,100 each** (35% LP slot each) fund the entire project.
- **Zero debt service** — no bank, no construction loan; 100% of Year 3+ NOI flows to the two partners.
- Each partner's pro-rata **historic tax credit ≈ $880K** — half of the $1.76M combined credits.
- **No personal guarantees** and no lender relationship — the two principals control the deal end to end.
- Full exit proceeds split between the two partners at sale, with no debt to repay.

TRADE-OFFS

- Largest check of any option — **~$2.73M each**; needs two high-capacity investors.
- Maximum single-deal concentration for each partner.
- No leverage means a lower equity multiple (~2.9×) than the levered Options 1 and 2.
- The entire $5.46M rides on just two commitments — no margin if one drops out.
- Per-partner returns mirror Option 3; the tax credits are the concentration payoff.

WHAT $575,000 RETURNS

A single investor's view of Option 2, base case.

·	Initial investment	$575,000
+	Return of capital at exit	$575,000
+	Cumulative 8% preferred (5 yrs)	$230,000
+	Operating cash distributions · Yrs 2—5 · 14% LP	$177,000
+	Sale proceeds · 14% of net · ~$7.86M exit	$1,100,750
+	Share of historic tax credits · 20% fed + 20% state	$352,000
=	TOTAL RETURN · AFTER TAX CREDITS	$2,434,750

EQUITY MULTIPLE · W/ CREDITS

~4.2×

EST. IRR · W/ CREDITS

~24%

CONSERVATIVE SCENARIO ~2.9× / ~13%

$575K → ~$2,002,000 · ~3.5× · ~18% IRR · $7.5M exit · incl. ~$352K credits

THE SPONSOR'S REASONING

Why we lead with Option 2.

Option 2 gives you the best absolute investor returns, the cleanest bank story, and maximum flexibility.

Target *five investors at $575,000 each*. Use the $2.875M equity to close the property and begin construction. Simultaneously pursue the $2.59M construction loan — at *~40% loan-to-ARV*, most community lenders will approve without requiring heavy personal guarantees.

If the bank loan cannot be secured, you can approach existing investors about a bridge or bring in 2–3 additional investors to cover the gap — a structured shift toward Option 3. *The fallback is built in.*

47% **Loan-to-cost ratio** · very comfortable for a community lender

39.8% **Loan-to-ARV** at $6.5M working value · inside conventional underwriting

~$181K **Interest reserve** needed at closing · vs $258K in Option 1

~3.6× **Equity multiple** base case · highest absolute dollar return of the four options

WHAT HAPPENS BETWEEN NOW AND CLOSE

Four steps. One deadline.

01

Engage counsel.

Operating Agreement and PPM in hand before any investor conversations. Reg D filing required.

02

Open the bank.

Preliminary call with 1NB (and two backup community banks). Present the $6.5M ARV case. Get an informal yes/no on $2.59M at ~40% LTV before committing investors.

03

Identify five.

Lead with Option 2. Be transparent about the bank component and the financial info needed to support the loan. Investors who push back on guarantees participate under Option 3 at their proportional share.

04

Soft commit by July 1.

Capital structure confirmed. At minimum a soft commitment from the lead investor in writing. Earnest goes non-refundable at 5:00 PM.

HARD DEADLINE

EARNEST MONEY GOES NON-REFUNDABLE

July 1, 2026

5:00 PM CT

IMPORTANT DISCLOSURES

For accredited investors only.

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FOR ACCREDITED INVESTOR INQUIRIES

Lance Ladd

Managing Member
Nightmoves Ventures, LLC

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